Employee Salary Structure & Compensation Policy

Company: Meridian Business Solutions (MBS)

Document Type: Internal Human Resources Compensation Guide

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1. Purpose

This document defines the standard salary structure used by Meridian Business Solutions for full-time employees. The structure is designed to provide consistent compensation, clear salary bands, and transparent rules for allowances, deductions, performance incentives, and annual salary reviews.

2. Salary Components

Component	Description	Typical Basis
Basic Salary	Core fixed monthly pay used as the primary salary component.	50–60% of gross salary
House Rent Allowance	Allowance intended to support employee housing expenses.	20–30% of basic salary
Medical Allowance	Monthly allowance for routine medical and healthcare expenses.	5–10% of basic salary
Transport Allowance	Fixed monthly support for commuting and local travel.	Fixed amount by grade
Communication Allowance	Support for approved work-related phone and internet expenses.	Fixed amount by grade
Performance Bonus	Variable compensation linked to individual and company performance.	0–15% of annual basic salary

Gross Salary: Gross monthly salary is the sum of basic salary and eligible fixed allowances before statutory or company-approved deductions.

Net Salary: Net salary is the amount payable to an employee after applicable deductions such as income tax, approved benefit contributions, unpaid leave adjustments, and other authorized deductions.

3. Salary Grades and Monthly Ranges

MBS uses salary grades to maintain consistency between job responsibility, experience, and compensation. The following ranges are illustrative internal bands for full-time employees.

Grade	Typical Role	Basic Salary (PKR)	Gross Salary (PKR)
G1	Junior Assistant / Support Officer	45,000–55,000	55,000–70,000
G2	Executive / Officer	60,000–80,000	75,000–100,000
G3	Senior Executive / Specialist	85,000–115,000	105,000–145,000
G4	Assistant Manager	120,000–160,000	150,000–200,000
G5	Manager	170,000–230,000	210,000–290,000
G6	Senior Manager	240,000–330,000	295,000–410,000
G7	Department Head	350,000–500,000	430,000–625,000

4. Example Employee Salary Calculation

Employee: Ayesha Khan **Position:** Senior Executive **Grade:** G3

Monthly Component	Amount (PKR)
Basic Salary	100,000
House Rent Allowance	25,000
Medical Allowance	7,500
Transport Allowance	8,000
Communication Allowance	3,500
Gross Monthly Salary	**144,000**
Estimated Statutory/Authorized Deductions	**9,000**
Estimated Net Monthly Salary	**135,000**

Important: The deduction figure in this example is illustrative. Actual deductions depend on applicable tax rules, employee benefits, attendance, approved advances, and other authorized adjustments.

5. Annual Review and Increment Policy

Salary reviews are normally conducted once each year. An employee's review may consider performance rating, role expansion, market salary data, internal salary equity, attendance, and the company's annual budget. A salary review does not automatically guarantee an increment.

6. Allowances, Bonuses, and Deductions

Allowances may vary by job grade, work location, business requirement, and employment contract. Some allowances are fixed while others may require supporting documents or prior approval.

Item	Eligibility / Rule
Overtime Pay	Paid to eligible employees when overtime is formally approved and recorded.
Performance Bonus	Based on the approved annual performance scheme and company results.
Travel Reimbursement	Business travel expenses may be reimbursed against approved claims and receipts.
Leave Adjustment	Unpaid leave may reduce salary according to the company's payroll policy.
Salary Advance	Approved advances may be recovered through scheduled payroll deductions.
Income Tax	Withheld according to applicable tax requirements and employee circumstances.

7. Payroll Processing Example

Payroll is prepared monthly by the Human Resources and Finance teams. Attendance records, approved leave, bonuses, allowances, and authorized deductions are reviewed before payroll is finalized. The employee receives a payslip showing gross earnings, deductions, and net salary.

8. Key Terms for RAG Testing

Term	Definition
Basic Salary	Fixed core salary before allowances and deductions.
Gross Salary	Basic salary plus eligible earnings and fixed allowances before deductions.
Net Salary	Amount payable after applicable deductions.
Salary Grade	Internal level used to organize roles and compensation ranges.
Performance Bonus	Variable payment based on performance and approved criteria.
Salary Increment	Increase in an employee's salary following an approved salary review.
Payroll	Process of calculating and paying employee compensation.

Document Note: This is a fictional sample document created for testing a Retrieval-Augmented Generation (RAG) system. It is not an actual company policy and should not be used for payroll or employment decisions.